

Management and Implementation Plan
CAVA in Spain

Katie N. Palecek, Eleanor Mann, Quentin Heller, Nichole Schwab

Universidad Pablo de Olavide

BUS 334Ea: International Management

Professor Alvaro Lopez

December 1, 2025

Management and Implementation Plan

CAVA in Spain

This paper outlines how the company, CAVA, a Mediterranean-style fast casual chain, can enter the Spanish market. This paper will consist of eight parts, analyzing who the CAVA Group is currently and what its Management and Implementation would look like in Spain. This analysis first outlines an introduction to CAVA, a cultural analysis between Spain and the United States of America, the Organizational Culture, the formal and informal structure, how Global they are currently, along with CAVA's plans to expand.

The second part of the analysis will follow the goals CAVA would have when expanding to Spain, including a SWOT analysis of the company and its strategic plan. Included is an analysis of a headquarters and subsidiary relationship, staffing control, and whether the company plans to expatriate managers.

COMPANY OVERVIEW

CAVA is a fast-casual restaurant brand located in the United States. They offer customizable Mediterranean bowls and plates to customers with an emphasis on the quality of their ingredients and health standards. CAVA offers flavorful foods with as many combinations as customers can ask for, along with dishes such as skhug, a spicy herb sauce, harissa, a chili paste, falafel, and tzatziki (CAVA Our Story). You can combine any ingredients for any kind of flavor profile.

CAVA headquarters are located in Washington DC, and as of 2025, there are over 400 CAVA locations across the United States. They are under the incorporation name of CAVA Group Inc. CAVA's mission is "To bring heart, health and humanity to food – and always make it Mediterranean." CAVA strives to give guests an exceptional experience through their food and their service through their values. The company values "delivering complete satisfaction for every craving" through its customizable bowls and helps in the community. Before opening a new restaurant, they serve meals to the community along with other nonprofit companies in the area, to be seen, known, and to give back. CAVA also strives to treat its workers well. Offering competitive wages and increased benefits in paid time off and healthcare plans in entry-level positions.

CAVA was founded by Ike Grogoropoulos, Chef Dimitri Moshovitis, and Ted Xenohristos because of their love for Greek food and the Greek community. They all grew up around the Greek Community and wanted others in the world to experience the “mediterranean warmth and hospitality” that they had experienced their whole lives. Thus, CAVA was founded in 2010, with the current CEO, Brett Shulman.

CAVA Group takes pride in the way that they source their ingredients, and they have decided to do so with a well-connected pallet of farmers. One of the farmers who has been highlighted for their relationships and connections is Starvros Manoloakos, an olive oil sommelier, who supplies the company with their olive oil. They also showcase that their olives are sourced from regions in Greece with local farmers and lentils from family farms in Montana. CAVA wants quality and transparency with its customers so they know and understand what they are eating and continue to come back for more (CAVA Our Sourcing).

CULTURAL ANALYSIS

In 1980, a renowned psychologist, Geert Hofstede, developed a theory to outline six different cultural dimensions of a country’s national culture. These dimensions are used by market researchers, scientists, anthropologists, and economists to understand what the traits of different national cultures may consist of, how they conduct business, react in situations, or the way people generally act. These cultural dimensions can be compared between two different countries and are extremely helpful in international business endeavors and cross-cultural comparisons. However, we do need to keep in mind that these are an estimation and do not exactly characterize every person in a culture. We have used Hofstede’s six dimensions to understand the differences and behaviors between Spain and the United States.

Between Spanish culture and the United States, we find many differences. The first dimension outlined is Power Distance in a culture. Power distance shows us how much acceptance there is within a culture to accept a hierarchy or inequality between classes. Spain has a higher power distance score than that of the US, so we will see a little bit more separation of classes. Spain may have more of a disparity between income and equality, and a larger group of lower-class people. However, Spain scores at a 57, and the US scores at a 40, so we will not see an intense difference in how we structure management, but we will need to be aware of how employee to manager relations differ between those of the United States and Spain.

Next, we look at the individualism or collectivism of a country. Spain ranks low on this scale, with a score of 51, meaning the country has a more collectivist mindset than that of the U.S. The United States, on the other side of the spectrum, ranks 91 with a highly individualistic point of view. A country being individualistic versus collective is going to show us how employees may treat others, the level of loyalty they have to each other, and how they may stand with or against management. This will help us to understand that with Spain having a more collective mindset, CAVA will have to make sure employees are not singled out from one another, but are all told a job well done. Management will have to focus more on what is good for CAVA rather than the employees themselves and their work, which can be a strength with CAVA Group being an incorporation.

Third, we examine masculine versus feminine societies. Masculinity and femininity stand on a scale of how each country's culture is perceived as being more "man-like" or "woman-like," not how many of each gender there are. Spain has a score of 42, which is going to be more feminine, and the US has a score of 62, which will lean more masculine. When we look at a more masculine society, we see more distinctions in a separation of gender roles. You may see the man working and the woman staying home, or the culture may act more assertively, tough, and less emotional. While the U.S. is more masculine of a society than Spain, we see that Spain is somewhat more neutral but leaning more feminine. This shows us that the people in Spain may value family over work and life over material success. They want a work/life balance, so through management, we may look into changing some of our hours of operation for CAVA in Spain.

The fourth cultural dimension we examined in uncertainty avoidance. Uncertainty Avoidance is "the extent to which the members of a culture feel threatened by ambiguous or unknown situations (Hofstede Cultural Dimensions)." Spain has an extremely high uncertainty avoidance level at 86, which can pose a few obstacles in implementing a new company in their market. When examining high Uncertainty avoidance, we find that people have less openness toward changes and like to have predictability, transparency, and structure. They may want to see facts about what they are buying or investing in, and want to see that there is certainty in the product they are using. We find that CAVA could use some of this uncertainty avoidance to their advantage because Mediterranean food is well known in the country of Spain already. People understand the health benefits of this diet, and it is followed regularly in society. CAVA is very transparent with where and who they source ingredients from, along with giving that information

to the community. Where CAVA may struggle is with Brand Awareness and Brand Loyalty. Marketing and Management are going to need to work together when penetrating the Spanish market because they are going to find it hard to get people to want to try a different style of eating, as well as a new, more modern food. The US has an uncertainty avoidance score of 42, meaning the culture as a whole tends to be very open to experimenting with new products and trying new brands and services.

Next, we looked at the level of long-term orientation versus short-term orientation in a country. This is going to tell us if a country is more focused on innovations and the future or if it likes to stick with national pride, tradition, past and present. Spain, while having a higher level on the scale than the US (26), is at a score of 48. Both countries lean more to the side of short-term orientation, which tells us that they focus more on fixed norms, their social obligations, and national pride. In business, the US may only be looking to meet a bottom line, but Spain may look a little farther and try to hit the bottom line but set goals to gain a little bit of market share (Country Comparison).

Lastly, we have indulgence levels. While not one of the main dimensions used, indulgence can help us discover how likely a culture is to buy products. The US (68) is highly indulgent, and Spain (30) is lower on that scale. With Spain's indulgence level being low, in a business environment, companies have to take note that people in Spain will probably be more loyal to already established brands and companies. It may be a little harder to get the Spanish to buy a product, especially at a higher price, without outlining the value that the product has first. When there is a lower indulgence level, we may not see as many start-up companies, so a lot of research and development needs to be conducted before implementation. Employees in Spain may also like more structure in their work, more discipline, and they may not be as smiling and open to customers. Unlike the United States, where friendly greetings are expected, Spanish employees may not greet in the same manner (Hofstede's Cultural Dimensions).

Conducting a cultural analysis helps executives and founders understand how they may need to structure management in a new market and country, and what kind of characteristics they need to look for when looking for new management. This cultural analysis also shows how organizational culture, formal and informal structure, may need to change when expanding. After exploring a cultural analysis, we then explore what the organizational culture of CAVA currently looks like.

ORGANIZATIONAL CULTURE OF CAVA

Organizational culture (OC) is the structure of an organization and the rules, values, norms, and organizational climate of the company. It involves the shared set of beliefs, values, and behaviors that work to guide how employees and businesses function. Usually imposed by a manager, organizational culture influences everyone involved in the company, from leadership styles to team dynamics and employee motivation. As a constructed product, OC is the product of different structures, regulations, and systems that are imposed on staff and the company through management, as it leads to the expressed values and processes. This also means that organizational culture can answer questions of how and why companies conduct business. It also outlines the appropriate ways to behave in each respective workplace. These norms are the unwritten rules that guide daily interactions of staff and how the company communicates and makes decisions. Not only are they formally written and expressed in forms such as the company's mission statement, but in addition are also developed over time to represent the company as a whole and how it works.

Organizational culture is influenced by employee-to-management relationships and the views held by employees. These views can generally be about the organization's purpose, goals, and employees' part in serving that mission. Aspects such as these are becoming increasingly recognized as the best way for management to connect with staff and promote their vision. This shows how impactful OC can be when analyzing whether a company's OC is positive or negative. (Lopez, Unit 3, Slide 3).

There are a few different ways that an organizational culture can be measured. One is by discussing whether the company has either a strong positive, a strong negative, a weak positive, or a weak negative culture. The main goal of any productive company is to form a strong, positive culture. This means that there is a positive overall work culture, in addition to strong relations between management and the workforce.

A workforce culture is considered positive when the members have full support, trust, and commitment in top management and the organization as a whole. This can only happen when there are reasonable relationships between officials, such as good communication between management and its employees, and reasonable demands for productivity. There needs to be an understanding that all of the members of the staff are impactful and have a stake in the company.

Being a part of all aspects, whether that be profits or losses, members must know and truly feel that they impact the success and failure of the company.

Strong OC is shown when all of the members can connect on the same expressed beliefs and values. This allows for easy communication between members both within the majority of working employees and between different levels of the company. A strong organizational culture also allows members of the organization to depend on each other to reach goals and creates a space where members are comfortable with sharing experiences.

A strong and positive culture together means that overall, there are good relationships between the workforce and management, allowing for clear and open communication and an increase in morale and productivity. With an established, strong, and positive culture, there is an overall strong connection between management and employees. Productivity and connection with the set company values and expectations will also remain strong (Lopez, unit 3, slide 5,8).

In the case of Cava Group, the company is a clear representation of a company with a strong and positive OC. As said by their Chief People Officer, Kelly Costanza, “You can’t bring heart, health, and humanity to food unless you bring it to your people first.” This just goes to show how deeply CAVA connects its employee experience to its brand identity. By using its MVC framework (Mission, Values, and Competencies), Cava also works to ensure that employees are not only able to understand the company’s values but also make sure that they practice them in everyday work and life (Morgan). Cava has also worked to embed company culture into all aspects of employee relations, from hiring and onboarding to training and leadership development. Through its initiatives such as Competency Champion Trainer certification and “the Cava Way” onboarding process, it shows another example of Cava working to implement these values into all levels of employee experience, in turn, creating a strong OC. Along with those, Cava also created programs such as Allies in Motion, the Love Button meal-giving initiative, and company-wide listening sessions show CAVA’s commitment to empathy and human connection as they continue to grow and expand as a company.

Cava has been transitioning to better rebuild their organization's culture along with their national expansion. By continuing to establish clear goals and foster a connection with employees, Cava is currently cultivating a strong, positive organizational culture and is looking to further embed these values across all aspects of the company. They are a good example to show how a company can maintain a culture that is about making systems that make human

behavior measurable, teachable, and celebrated, and this is shown through Cava's work, which shows how a company such as Cava can design systems so they continuously expand without losing any of their values and goals (Morgan).

STRUCTURE OF CAVA

FORMAL STRUCTURE

In order to fully understand how CAVA Group functions as a corporate organization, we have to analyze not only the informal structure and culture of the company, but the formal structure as well. The formal structure of CAVA consists of the Governance Board and Board of Directors, Guidelines, Charters, Rules, and Regulations of how the Corporation can run efficiently, effectively, and with authority to meet its bottom line and goals. The informal Structure of CAVA is what norms there are in the workplace, social patterns, and social networks that are used between employees. It also helps us understand more of the culture in the company, of how employees and even management may interact. We analyze both structures, beginning with a formal structure, in order to properly build a management and goal plan for implementing CAVA in Spain.

The Formal structure of CAVA currently comprises nine Executive managers. The CEO and co-founder being Brett Shulman, co-founder and Chief Concept Officer, Ted Xenohristos, Robert Betram as the Chief Legal Officer, Kelly Costanza as the Chief People Officer, Beth McCormick as the Chief Information Officer, Chris Penny as the Chief Manufacturing Officer, Andy Rebhun as the Chief experience Officer, Tricia Tolivar as the Chief Financial Officer, and Jeff Gaul as the Chief Development Officer. These people all work together to regulate the formal structure of CAVA (Investor CAVA).

Cava Group, being located in the United States, means that it is currently structured as a Marketplace bureaucracy. This is due to the country's low power distance and low uncertainty avoidance. According to Weder's model of bureaucracy, there are four "ideal" formal structures, whose rules work to determine several aspects of the company and employee standards, along with its way of conducting business. By being in a country such as the US, with low power distance and low uncertainty avoidance, there is a downward flow of authority. Meaning that, power and influence start with the headquarters, and then moves down to regional managers,

location managers, and then down to the employees. This works to ensure that there are standardized procedures in food preparation, service, as well as overall restaurant operations.

While CAVA Group is not technically a franchise, it uses a franchise-like system. This is where the company is going to have rules and regulations in place that each store needs to follow to adhere to corporate needs. But in CAVA's situation, their executives still interact with employees working shifts that are the same as lower-level employees and completing the same duties. We see how they interact more in their informal structure (Shelton, Leadership with Empathy).

In terms of moving to Spain, Cava group will maintain this formal structure. However, if they plan on fully adapting to the business customs of Spain, it will inevitably evolve to be slightly different. Spain has a higher power distance and a higher uncertainty avoidance compared to the US. Because of these differences, Spanish companies typically form full bureaucracies. This means that the relationships and responsibilities are much more standardized and impersonal. This comes with more vertical communication as well, as there is a much more defined chain of command and formal communication, especially when interacting with managers. In general, the full bureaucracies that are more common in Spain have a much higher reliance on rules, procedures, and hierarchies. This affects how managers interact with employees, as well as how to motivate employees to work their best.

When creating a Cava location in Spain, there will be shifts in the American marketplace bureaucracy into the Spanish full bureaucratic style. This will be displayed in many ways, such as in the ways that Spanish employees work for the company. Managers will need to adjust to the ways they lead employees, as they may expect closer supervision and clearer rules, compared to the American low power distance cultures, where allowing for broader autonomy may be more effective in leading workers. By working to align with the cultural norms of Spain in this way, while also still maintaining the aspects of management and production that allowed the company to thrive in the US, Cava can work to create a subsidiary that is not only strategically effective but culturally appropriate and adaptable (Cultural Influence on Organizational Structures).

INFORMAL STRUCTURE

The informal structure of CAVA captures the undefined, relational, and social dynamics that influence how employees actually collaborate daily, while the formal structure establishes

the organization of tasks, responsibilities, and reporting lines. Every organization has informal systems because, in spite of formal regulations, individuals inevitably form interpersonal relationships, communication styles, and norms that impact organizational life. In contrast to the impersonal rules of formal bureaucratic systems, the class framework claims that informal structures reflect "felt obligations" and interpersonal influence often referred to as "rule by personality."

The informal structure is especially significant in CAVA's U.S. operations because the company was founded in a marketplace bureaucracy setting with low power distance and low uncertainty avoidance. Employees in these settings frequently rely on informal cooperation, adaptable communication, and personal connections to get things done. Managers collaborate with hourly workers, and team members often engage across hierarchical levels, fostering a sense of shared purpose and cooperation. Executives working shifts in stores and the MVC framework's emphasis on empathy and connection are two examples of CAVA's cultural initiatives that demonstrate this dynamic.

Within CAVA, a variety of informal relationships can be seen, as detailed in the PowerPoint. One is the existence of horizontal friendships, which develop organically between coworkers during hectic shifts. These connections foster better communication, teamwork, and a supportive work environment for staff members. Additionally, managers and employees can develop vertical friendships. These friendships usually involve brief acts of support or kindness, like flexible scheduling or personal encouragement, that foster trust without compromising formal authority. CAVA's dedication to treating staff members humanely and acknowledging their unique needs is one example of these vertical informal ties.

The possibility of friendship cliques forming among workers who have similar tenure, interests, or backgrounds is another aspect of informal structure. Although these cliques can strengthen ties within subgroups, they also need to be closely monitored by managers to avoid exclusivity or misunderstandings. Instead of fostering in-groups and out-groups, informal cliques at CAVA contribute positively to workplace culture thanks to the company's strong emphasis on inclusivity and shared values.

The PowerPoint also presents the idea of patronage networks, but because of CAVA's low-power-distance, U.S.-based culture, these are less typical of the company's operations. In order to negotiate workplace structures, patronage systems usually emerge in

high-power-distance nations and rely on obligations based on resources or reciprocal favors. Rather than influence based on status or control over resources, CAVA's informal system is more in line with open communication, cooperative relationships, and personal goodwill. This strategy upholds CAVA's reputation as a cutting-edge, people-focused company.

The informal structure will unavoidably change as CAVA enters Spain. Employees in Spain may value formal rules and hierarchy more, influencing the development of informal relationships, as evidenced by the country's higher power distance and higher uncertainty avoidance. Although personal connections will still be important, Spanish workers might be more cautious about stepping over hierarchical lines and might rely more on vertical channels of communication. The more bureaucratic expectations of the Spanish workforce will probably be complemented by informal structures at CAVA Spain in this situation, all the while maintaining the encouraging, community-focused culture that characterizes the CAVA brand.

All things considered, CAVA's informal structure greatly influences how staff members communicate, work together, and perceive company culture. Informal relationships promote trust, unity, and the human connection that CAVA views as essential to its mission, while formal structures offer clarity and consistency. Building a cohesive and culturally sensitive subsidiary will require the company to comprehend how these informal systems may differ as it enters the Spanish market and modify managerial practices accordingly.

GLOBALIZATION OF CAVA

Globalization has given fast-casual restaurant brands more opportunities to expand beyond their home markets, and CAVA is well-positioned to take advantage of this trend. Given the growing interest in health-focused dining and the Mediterranean diet, CAVA's concept closely aligns with global consumer preferences for fresh, customizable, and ethically sourced food (CAVA, 2024). As global markets become more interconnected, brands that prioritize transparency and quality sourcing gain a competitive edge. This allows CAVA to export its identity while appealing to universal themes of convenience and wellness.

Strong domestic growth supports CAVA's potential for global expansion and shows how scalable its business model is. While Cava is not yet a global company, there have been several recent expansions throughout the United States as the brand quickly grows in popularity and relevance. This aggressive expansion has led to the company to have, as of 2025, over 400

locations across 29 US states and territories, and in 292 cities throughout the US. Even with their substantial national growth and recognition in the past few years, the Cava group is still actively working on expanding throughout the US, and has plans to. The operational stability required for international expansion is provided by the company's vertically integrated supply chain and emphasis on constant product quality (CAVA Group, Inc., 2024). Globalization also necessitates that CAVA modify its organizational procedures to satisfy the cultural demands of new markets. The way management, communication, and organizational structures operate across borders is influenced by national cultural differences, particularly with regard to power distance and uncertainty avoidance, as mentioned in the class slides (Lopez, 2025). CAVA will need to change from its more informal U.S. marketplace bureaucracy to a model that includes more formalized procedures, stronger oversight, and clearer regulations due to Spain's higher uncertainty avoidance and preference for structured workplace practices (Hofstede Insights, 2024).

A strategic use of globalization to diversify revenue streams and increase long-term brand visibility is also demonstrated by entering the Spanish market. Spain's robust Mediterranean cuisine culture presents CAVA with both a challenge and an opportunity: although the flavors are well-known, the fast-casual Mediterranean format is less well-established, allowing room for uniqueness. In order to be successful, CAVA must strike a balance between local responsiveness and global consistency, modifying its menu, prices, and service approach to meet the needs of Spanish customers (CAVA, 2024).

In the end, globalization offers CAVA a route for long-term growth, but success necessitates strategic adaptation, culturally aware management, and a resolute dedication to upholding the company's mission and values while breaking into new international markets.

SWOT ANALYSIS

When expanding outside of the home country, a company needs to have a clear vision of the steps needed to progress and the goals it is working towards. In order to clearly see what objectives should be prioritized and strategies utilized, an internal and external analysis should first be completed. Therefore, in this section, we will go through a SWOT analysis, followed by goals, and finally, strategic plans on how to get there.

The SWOT analysis is necessary because it identifies areas of strength, weakness, opportunity, and threat that need to be either supported or pursued by the goals, which will

dictate the strategic plans. We have conducted a SWOT analysis of CAVA Group, displaying what strengths and weaknesses the company has internally and currently, as well as what opportunities and threats the company will encounter in its external environment. CAVA Group can use these opportunities and threats to understand the external environment of Spain and what the business would look like implementing the restaurant there.

First, CAVA Group's strengths were evaluated. CAVA is extremely strong in its position of revenue Growth and Profitability. According to Yahoo Finance, CAVA's financial performance improved over the past two years. The company's business model has a solid foundation, aligns with their targeted tastes and demands, allowing it to effectively pivot from a position of net loss to net profit. CAVA Group also has a strong menu appeal. Cava is very dedicated to delivering high-quality, fresh ingredients to its consumers. As a restaurant that offers customizable bowls, there are several unique options for health-conscious consumers, such as grains, salads, a variety of hummus, and pitas. The focus on Mediterranean cuisine positions the brand in a favorable position compared to other fast-casual options. Third, CAVA has a strong Customer Loyalty currently in the United States. As suggested by Yahoo Finance, CAVA's average unit volume (AUV) and same restaurant sales growth display the company's evidence of customer retention.

Next, we have outlined some of CAVA Group's weaknesses. We can see that CAVA Group has extremely high operating costs in labor, rent, expenses, ingredient expenses and taxes. From their revenue versus earning chart provided by Yahoo Finance (See Appendix) we are able to see the extreme divide between the revenue that CAVA is making and their actual earnings. CAVA also has risks in the vulnerability of the supply chain. CAVA group is extremely transparent and sources their ingredients locally and from known farmers, in which they have already established relationships with, and in this weakness the company would need to explore how they may need to change sourcing outlets in order to globalize. CAVA group also has a limited Geographic Presence and brand awareness in Spain. The company would need to find a way to gain the trust of Spanish consumers in order to get them to want to try a new restaurant and keep coming back to it. This is also the case when CAVA is looking to employ people in Spain. They need to make sure the company stays reputable, transparent and trustworthy in order to appeal to the Spanish. While CAVA may have customizable bowls, they do have a limited menu positioning themselves as a Mediterranean cuisine restaurant. This limited, yet interchangeable menu can become a strength, if the Spanish population reacts positively to the

options provided, or stay a weakness if CAVA does not correctly research the market and what the adaptations, flavor profiles, styles or structures of eating are in Spain. We have found that CAVA has a heavy reliance on lunch and peak day time traffic which could pose a weakness when implemented in Spain. In Spain, there is a tendency to spend lunch eating, drinking, and talking with friends for a significant amount of time, and a take-home quick bowl may not fit this schedule. However, with slight tweaks such as adding more seating or adding alcoholic beverages to the menu may negate this. Lastly, the price of CAVA may be too high for Spanish consumers, who typically spend less than the 12-15 euros for a meal at lunch. CAVA could adapt their pricing and delivery formats in order to fit this, like offering tapas of the various options or making sizes smaller and reducing costs.

Opportunities for CAVA in Spain help us to grasp how they can use their strengths and begin to convert their weaknesses. The First opportunity that emerges for CAVA is that consumers are changing their lifestyles into more of a health-conscious mindset. Consumers are prioritizing sustainability in what they are putting into their bodies as well as in packaging. People are also looking for plant based and special diet options in their foods, all while still being price sensitive. This poses an opportunity for CAVA because the company is already practicing popular sustainability processes and appeals to consumers learning to eat healthier at a lower cost. With CAVA Groups new recipes or order processing this opportunity can help them thrive in Spain (“The Rise of Health Conscious Dining”). Locally sourced products are also gaining popularity as well as the size of meals. This is an opportunity for CAVA in Spain because as a Mediterranean restaurant, many of the ingredients can be sourced from various regions of Spain. If there are issues in supply chain or sourcing from the U.S, CAVA Group may be able to build connections with other suppliers in Spain, lowering some costs. The sizing of meals is important in Spain especially during lunch. Lunch in Spain is the largest meal of the day, but with CAVA bowls people would still be able to get a substantial meal for their lunch time if they want to eat out during the day or if they do not have the time to eat at home (“Food Trends in Spain”). Lastly, there is an opportunity within the sector of technology, convenience and delivery food. In the United States CAVA already poses a strong position in their ordering systems and the companies that they use for delivery. CAVA uses third party delivery systems, but through their app customers can order ahead to be ready when they arrive, companies or families can use the app for catering and there is an advanced rewards system that CAVA uses. CAVA can use their

technology to their advantage, making sure consumers know what the new menu item is helping them to get promotional items or discounts, helping with some doubt in pricing (“Food Trends in Spain”).

Lastly the threats towards CAVA group entering into the Spanish Market has been explained. When analyzing the threats of entrance to Spain, CAVA management being implemented needs to have strengths, trust and knowledge in order to combat the threats to the company. We have found that competition is vast in Spain. This competition does not only come from other fast casual chains, but established restaurants as well. Consumers in Spain are brand loyal to the brands that are already established in their cities, and sometimes hold uncertainty in trying a new establishment. However, the Spanish consumer is open to trying new companies if marketing, management, service and advertisement are implemented correctly. There are also threats in economic downturns with people making less money, not having as high of a disposable income, rising labor and ingredients costs as inflation rises and can lead to less people eating out (“Decoding CAVA Inc”). This is where CAVA needs to make sure its pricing strategy is strong, but also where they can use sourcing locally and more sustainably to lower costs. Online ordering systems also help when hiring less employees for labor costs or having a hiring process for management to help turnover rates lower. There is also a threat in shifting consumer preferences and tastes. If CAVA does a good job with adapting their menu or adding new items regularly to follow changing trends, and implementing their restaurant into the right city then the company can thrive (CAVA.com)

GOALS FOR CAVA

In order to succeed in Spain, CAVA will need to have a clear set of objectives and strategic planning to achieve them. The three most important objectives are localizing the menu, optimizing pricing and value for Spanish customers, and increasing brand awareness and trust in CAVA in Spain. These objectives are based on negating weaknesses and threats while building up on strengths and opportunities. In order to achieve these objectives, CAVA will adapt a variety of strategies to cater toward the Spanish market.

STRATEGIC PLAN

For localizing the menu, CAVA will conduct market research into popular flavors, eating habits, local tastes, and common ingredients in Spain. For example, they would see what the difference in American and Spanish Mediterranean food consisted of. After the market research phase, they would adjust the menu and sizing accordingly. Spanish traditional food that would fit with the menu, such as roasted peppers or Iberian ham, and drinks like Cruzcampo or tinto de verano would be included in the menu. Finally, they would take surveys and get data from consumers to determine the success, and they would adjust accordingly.

The second goal of optimizing pricing and value would follow a similar strategy. Market research would be done into Spanish sizing and preferences, and whether people would try CAVA depending on price point and size. After this, tapa bowls would be incorporated into the main menu along the main bowl. Value packages, such as a two tapa-bowl meal or a bowl+drink option, would be included, in order to cater to Spanish eating habits. After this implementation, surveys would be conducted, and adjustments would be made.

Thirdly, increasing brand awareness and trust would take a 3 pronged approach. Firstly, marketing campaigns and social media would increase the public's knowledge of CAVA and its healthy bowls and diverse options. Secondly, free samples and pop-up events would be utilized to get people to try the flavors. Third, CAVA would publicly sponsor a health-related event and charity, in order to increase community goodwill.

HEADQUARTERS AND SUBSIDIARY RELATIONSHIP

In this section, we explain the current relationship between CAVA's headquarters and subsidiaries, and describe how it would most likely be shifted in order to fit with expansion into Spain. This will be done by considering the levels of risk and the levels of control CAVA currently imposes, and what differences there would be in Spain. Finally, it will finish with a recommendation on what form of control CAVA headquarters should impose on CAVA Spain.

The current relationship between CAVA headquarters and subsidiaries is highly centralized. The CAVA Group, Inc. headquarters is located in Washington D.C, and it commands all decisions. This means that all strategic, financial, operational, HR, legal, and brand decision-making authority belongs to headquarters. Their regional subsidiaries are wholly managed by staff who were appointed at headquarters, and the strategy for all different CAVA's

only changes when absolutely necessary. CAVA itself owns 100% of all operating entities beneath it, whether that be the official CAVA restaurants, the CAVA foods and sauces division or the repurposed Zoës Kitchen restaurants. This high centralization is most likely due to their strong flavor and brand profile, which headquarters does not want diminished by local managers trying new things. This current strategy that CAVA employs minimizes risk in a number of ways, firstly being a reduction in reliance on external suppliers. By owning the stores, the consumer processed goods, and the production, CAVA maintains a firm grip on supply chains and ensures reliable products in stores and in restaurants. Secondly, by owning everything, they can freely scale business without depending on outside cooperation. As written in CAVA's file in the securities and exchange commission "We are in the early stages of fulfilling our total restaurant potential, and we believe there is opportunity for more than 1,000 CAVA restaurants in the United States by 2032" (Brett Schulman 3).

CAVA's business model between headquarters and subsidiary would not need a drastic change to accommodate a further, different, and varied Spanish market. While, Spain is not particularly risky or lacking in attractive investment climate and skilled human resources at attractive prices, it is still significantly more risky than further expansion in the United States. These industry risks were covered in the SWOT analysis, however, risks in the culture were not. As the class slides say, "reliance on formal mechanisms of control is positively related to the distance between the national cultures of headquarters and subsidiaries." (Slides 8.1) Therefore, as Spain is relatively different to the United States, formal mechanisms of control will likely be used. This meshes well with CAVA's current structure of complete control exhibited by the headquarters. However, control in different countries is different, and one needs to consider that "All control costs money; insufficient control can result in a loss of profits and over-control can result in costs in terms of expatriation" (Slides 8.3). These ways of control are organizational culture, staffing, and structural relationships. Firstly, the organizational culture of CAVA Spain will be changed in order to fit with the higher power distance and emphasis on the vertical chain of command. This will be limited to this location and will only consist of a few rungs of leadership. The potential over-control money problem with expatriates could be remedied by having a small number of expatriate employees abroad, and only one or two managers would be required to keep sufficient control. Thirdly, the structural relationship between the subsidiary and

headquarters will remain exactly the same as it is everywhere else and CAVA will employ a “global” structural relationship.

In summary, the strong leadership and commanding headquarters strategy that CAVA currently employs across the United States will be utilized and tweaked slightly for the Spanish expansion.

STAFFING CONTROL

One of the most critical relationships between CAVA's Washington, D.C. headquarters and its prospective Spanish subsidiary is staffing. Due to CAVA's highly centralized organizational structure in the United States, where strategic, operational, and HR decisions are made at headquarters, staffing overseas must both adhere to CAVA's core values and take into account the cultural realities of the Spanish market. Effective staffing control lowers risk, guarantees brand consistency, and facilitates the successful deployment of CAVA's systems abroad.

The Hofstede analysis highlights cultural differences that CAVA must take into account when deciding how to staff the Spanish subsidiary. The employees in Spain will likely anticipate more formal rules, clearer guidelines, and a stronger hierarchical structure than what is typical in CAVA's U.S. locations due to Spain's higher power distance, collectivist mindset, and greater avoidance of uncertainty. The business will use a geocentric staffing strategy as a result. By using local managerial talent who are familiar with Spanish customs, consumer expectations, and labor dynamics, CAVA can preserve the core identity and processes that define the brand.

CAVA will employ a balanced staffing model with a majority local workforce and a small number of foreign managers to guarantee a seamless entry into the Spanish market. The United States will only send one or two expatriates to Spain to work in positions like Head of Operations Spain or Regional Opening Manager. These foreign workers will act as organizational and cultural bridges, transferring the CAVA Way, maintaining operational quality, and making sure the organizational culture is in line with the MVC framework that is currently in use in the United States. In addition to lowering expenses, limiting the number of expatriates helps prevent the issue of "over-control," since course materials suggest that relying too much on expatriates may result in needless costs.

The majority of restaurant-level positions, including general managers, supervisors, shift leaders, and crew, will be filled by local Spanish employees, although the top level of leadership will initially be composed of managers appointed by headquarters. Local managers have a number of advantages, including a better understanding of Spanish consumer behavior, familiarity with the labor market, the ability to more skillfully navigate local regulations, and the natural ability to adopt leadership styles that align with Spanish cultural preferences. CAVA will modify managerial expectations by stressing precise task assignments, formal communication channels, and consistent supervision because Spain tends to have more structured workplace environments. Given that Spanish workers typically value predictability, clarity, and well-defined expectations, this strategy fits with Spain's high uncertainty avoidance.

Both local and foreign managers will receive extensive training to incorporate headquarters standards while honoring cultural differences. Spanish workplace expectations, communication styles, and leadership modifications specific to high power distance settings will be the main topics of cross-cultural training for expatriates. In contrast, a modified version of "The CAVA Way" onboarding program will be completed by local Spanish managers. Organizational culture, food safety regulations, operational protocols, technology use, and customer service standards are all covered in this training. Regular building and structure will be prioritized in order to give workers a sense of security and self-assurance in their positions.

In each new location, CAVA will also use hybrid staffing during the initial stage of expansion. For the first few months, newly hired Spanish workers will collaborate with launch trainers trained in the United States. This arrangement promotes the early adoption of CAVA's service model, strengthens knowledge transfer, and upholds operational standards. The hybrid team will be phased out, and Spanish managers will take over full responsibility once local workers have proven to be fully competent. The foundation of CAVA's expatriation strategy is strategic control and efficiency. Assignments for expatriates will last 12 to 24 months—long enough to set up protocols and develop local leadership, but brief enough to avoid over-reliance. Through quarterly audits, monthly check-ins, and standardized reporting systems, headquarters will keep a close eye on their performance. Following their assignment, expatriates will take part in a repatriation process that allows them to reintegrate into U.S. operations and use their international experience for future global expansion.

In general, CAVA Spain's staffing control strategy depends on utilizing the experience and cultural awareness of local workers while upholding uniformity with headquarters' standards. Class concepts that link cultural distance to the necessity of formal control mechanisms reinforce the decision to send only a small number of expatriates, reflecting the balance between preserving control and avoiding needless expenses. In this manner, CAVA can maintain its flexibility, cultural sensitivity, and financial efficiency while building a solid foundation for global success.

CONCLUSION

All things considered, CAVA's possible move into Spain demonstrates how a business can expand globally while remaining true to the principles that make it successful domestically. CAVA can facilitate a more seamless transition into an entirely new market by comprehending the cultural differences between Spain and the United States and modifying its management style, menu, and pricing to suit Spanish preferences. The company has the fundamentals it needs to adapt without losing its identity, owing to its strong organizational culture and well-defined formal and informal structures. With careful hiring practices, a realistic assessment of the risks, and a well-defined worldwide strategy, CAVA is well-positioned to gain the trust of Spanish customers and eventually grow even more. Entering Spain becomes more than just an expansion; it's an opportunity for CAVA to grow, develop, and learn on a global scale.

References

- CAVA: Investor Relations*. (2024). CAVA. Retrieved November 15, 2025, from <https://investors.cava.com>
- CAVA Our Sourcing*. (n.d.). CAVA. Retrieved November 10, 2025, from https://cava.com/ourstory?utm_source=Google&utm_medium=cpc&utm_campaign=22680392826&utm_content=&utm_term=&gad_source=1&gad_campaignid=22690098184&gclid=CjwKCAiA86_JBhAIEiwA4i9Ju04g7HRl-MSMgEFgOl2UkhZ2-IjVHAQR81XueZwf0d_aDUCvJ1LxJR0Cpe8QAvD_BwE
- CAVA: Our Story*. (2024). CAVA. Retrieved November 14, 2025, from <https://cava.com/our-story>
- Country Comparison Bar Charts*. (n.d.). Geert Hofstede. Retrieved November 30, 2025, from <https://geerthofstede.com/country-comparison-bar-charts/>
- Cultural Influence on Organizational Structures*. (2024). Portersfiveforces. <https://portersfiveforce.com/cultural-influence-on-organizational-structures/>
- Decoding CAVA Inc: A comprehensive SWOT Analysis*. (2024). Yahoo Finance. Retrieved November 10, 2025, from <https://finance.yahoo.com/news/decoding-cava-inc-comprehensive-swot-183623441.html>
- Food trends in Spain: Understanding consumer behavior*. (2024). Statista Market Insights. Food trends in Spain: Understanding consumer behavior
- Hofstede's Cultural Dimensions*. (n.d.). Hofstede's Cultural Dimensions Indulgence versus Restraint. Retrieved November 10, 2025, from <https://www.jmu.edu/global/iss/resources/global-campus-toolkit/files/hofstede-indulgence.pdf>
- Lopez, Á. (2025). *International Management: Units 3, 4, and 8 class slides*. Universidad Pablo de Olavide.
- Morgan, B. (2023). *How CAVA cultivates culture through people-first practices*. Forbes. <https://www.forbes.com/sites/blakemorgan/2023/03/14/how-cava-cultivates-culture-through-people-first-practices/>
- The rise of Health-Conscious Dining*. (2023). European Food Industry Journal. <https://eufijournal.com/2023/11/health-conscious-dining-europe/>
- Shelton, K. (n.d.). *Leadership with empathy: A case study of CAVA executives*. Harvard Business Review. Retrieved 2023, from <https://hbr.org/2023/02/leadership-with-empathy/>